

6.10 Identifying the Riskiest Assumption

ہر کاروباری خیال کچھ مفروضوں (Assumptions) پر قائم ہوتا ہے، یعنی وہ باتیں جنہیں ہم سچ سمجھتے ہیں مگر ابھی آزمایا نہیں۔

CS XII

Chapter 6: Entrepreneurship in the Digital Age

Lecture 11 of 18

6.10 Identifying the Riskiest Assumption

LEARN IT

Every business idea is based on **assumptions**. An **assumption** is something we **believe to be true, but have not tested yet**.

The **riskiest assumption** is the belief that can make the **entire business fail** if it turns out to be wrong.

Entrepreneurs should **identify and test the riskiest assumption early**, because it **saves time and money**. If it is wrong, you find out before building everything else.

Table 6.7: Testing risky assumptions

Business Idea	Possible Risky Assumption	How to Test It (MVP)
Online tuition finder	Students will pay for online tutoring.	Ask 20 students and offer a trial class to see if they sign up.
Canteen pre-order form	Students will order snacks before break.	Test a Google Form for one week in real time.
Ajrak online catalogue	Customers will place orders through WhatsApp.	Share catalogue with 30 customers and record actual orders.
College van update system	Parents and students will check van updates daily.	Create a trial WhatsApp broadcast group for one route.

Notice that every test measures **what people actually do** (sign up, order, check), not just what they say.

WORKED EXAMPLE

Worked example: finding the riskiest assumption. Idea: a home-tutor booking service for Grade IX–X students in Sukkur.

Step 1, list assumptions:

1. Parents want home tutors for their children.
2. Good tutors in Sukkur are willing to join.
3. Parents will **pay a booking fee** through our service instead of finding tutors through relatives.
4. Parents will like our logo.

Step 2, ask of each: "If this is wrong, does the whole business fail?" Logo (4): no, easily changed. Parents wanting tutors (1): very likely true; many already hire tutors. Tutors joining (2): important, but easy to check by phoning a few tutors. Paying a booking fee (3): if parents refuse to pay, the business earns nothing, so **this is the riskiest assumption**.

Step 3, design a small MVP test: post the offer in 3 parent WhatsApp groups for one week, offer a first booking at a small fee, and **count how many actually pay**.

REMEMBER IT

Ask: "What would kill this idea?" The answer is usually the riskiest assumption. Test it **first**, cheaply, with real behaviour.

COMMON MISTAKE

Mistake: Testing easy, safe assumptions (colours, names) first and leaving the dangerous one for later.

Fix: Test the assumption that could make the whole business fail first. Also, do not trust only "Yes, I would use it". Measure actual sign-ups or orders.

اردو میں سمجھیں

ہر کاروباری خیال کچھ مفروضوں (Assumptions) پر قائم ہوتا ہے، یعنی وہ باتیں جنہیں ہم سچ سمجھتے ہیں مگر ابھی آزمایا نہیں۔ سب سے خطرناک مفروضہ (Riskiest Assumption) وہ ہے جو غلط نکلے تو پورا کاروبار ناکام ہو جائے۔ اسے شروع میں ہی چھوٹے ایم وی پی سے آزمانا چاہیے تاکہ وقت اور پیسہ بچ سکے۔

CHECK YOURSELF

1. Define assumption.
2. What is the risky assumption for the Ajrak online catalogue, and how is it tested?
3. Why test the riskiest assumption early?

Answers: 1. Something we believe to be true but have not tested yet. 2. Customers will place orders through WhatsApp; share the catalogue with 30 customers and record actual orders. 3. Because if it is wrong the whole business fails, so testing it early saves time and money.

Next lecture: 6.11 Developing an MVP